

Trio Mercantile & Trading Ltd

BSE: 534755 | NSE: TRIOMERC | Sector: Financial Services — Other Financial Services | Date: 15 Jun 2026

RATING

NOT RATED

Speculative / High-Risk

12M PRICE TARGET

Rs. N/A

No earnings base for DCF/P/E valuation

Metric	Value
CMP	Rs. 1.88
Market Cap	Rs. 12.8 Cr
52W High / Low	Rs. 2.28 / 0.53
Stock P/E	1,277x
Book Value / Share	Rs. 3.50
Equity Capital	Rs. 13.59 Cr
Face Value	Rs. 2.00
ROCE (FY26)	0.53%
ROE (FY26)	0.04%
Div. Yield	0.00%
Promoter Stake	4.81%
Borrowings (FY26)	Rs. 1.50 Cr
FY26 Revenue	Rs. 2.76 Cr
FY26 PAT	Rs. -0.05 Cr

INVESTMENT THESIS (ONE LINE)

Micro-cap trading shell with chronic operating losses, sub-5% promoter stake, and Rs. 2.76 Cr revenue — speculative only; no fundamental buy case on current earnings.

This report is prepared for informational purposes only. All figures sourced from Screener.in (BSE:534755), fetched 15-Jun-2026. Past performance is not indicative of future results. Analyst: MPM Research Desk.

2. INVESTMENT THESIS

- **Revenue recovery narrative (TTM +67%):** After five consecutive years of sales decline (from Rs. 29.49 Cr in FY18 to Rs. 1.65 Cr in FY25), FY26 saw a sharp bounce to Rs. 2.76 Cr (+67% YoY). The sustainability of this recovery is unproven — Q4FY26 sales of Rs. 1.27 Cr were the strongest quarter in 3 years, but a single quarter does not signal a structural inflection.
- **Near-zero debt and asset-light model:** Borrowings of only Rs. 1.50 Cr against a balance sheet of Rs. 29.25 Cr; D/E is negligible (~0.06x). The company owns virtually no fixed assets (Rs. 0.02 Cr), meaning any improvement in working capital flows directly to the bottom line. This also means no capex drag on cash flow.
- **Operating losses are structurally persistent:** Every year since FY21, operating profit has been negative — expenses consistently exceed revenues. Other income (interest/dividend from financial assets) has been the sole earnings buffer. Until operating expenses are cut below revenues, profitability depends on the level of financial assets held, not on operating performance.
- **Near-term catalyst (6-12 months) — Q4FY26 momentum:** Q4FY26 sales of Rs. 1.27 Cr and PAT of Rs. 0.08 Cr marked the best quarterly result since FY19. If this level is maintained across FY27 quarters, the stock's extreme P/E of 1,277x could compress meaningfully. Any formal announcement of a new line of business or promoter stake increase would be a material positive trigger.
- **Biggest structural risk — promoter abandonment:** At 4.81% promoter holding (down from 11.84% in FY17), the company has effectively been abandoned by its founders. With 95.16% public/retail float and no institutional ownership of note (DII=0.03%), the share price is driven entirely by speculative retail flows — not by business fundamentals.

3. BUSINESS OVERVIEW

- **Core business — Trading and Financial Services:** Incorporated in August 2002 and listed on BSE (534755), Trio Mercantile & Trading Ltd is engaged in trading activities, services & consultancy, finance-related activities, and brokerage business. The company's website (triomercantile.com) describes three pillars: trading/investments, services/consultancy, and finance/brokerage.
- **Revenue segmentation:** Revenue is not formally segmented in public disclosures. Based on P&L; structure, revenues appear to come from trading margins on goods and, separately, from financial services/consultancy fees. Other income (Rs. 0.68 Cr in FY26) — comprising interest and financial returns on assets held — has historically been larger than operating profit, making it a de-facto financial holding company masquerading as a trading entity.
- **Finance & Investment Division demerger:** A demerger of the Finance and Investment Division was sanctioned by the High Court of Bombay (per Screener Key Points). This historical restructuring suggests the company has previously split out or separated financial assets — the residual entity retains the trading/consultancy label.
- **Customer relationships:** No details on customer names, concentration, or recurring vs. project-based revenues are publicly disclosed. Given revenue of Rs. 2.76 Cr (FY26), the customer base is likely small and the business is transaction-driven rather than relationship-recurring.
- **Order book / revenue visibility:** None disclosed. The quarterly revenue volatility (ranging from Rs. 0.08 Cr in Q4FY25 to Rs. 1.27 Cr in Q4FY26) indicates absence of any locked-in order book or long-term contracts.
- **Promoter background:** Promoter stake stands at a critically low 4.81% (13.59 Cr equity capital / Rs. 2 FV = ~6.8 Cr shares; promoter holds ~0.33 Cr shares). No promoter pledge is disclosed. The drastic reduction in promoter stake from 11.84% (FY17) to 4.81% (FY19 onwards) is a significant governance red flag.
- **Regulatory status:** As of April 2026, the company confirmed 'Non-Large Corporate' status under SEBI's revised framework, with outstanding borrowings of Rs. 1.50 Cr. Minor LODR deviations noted in Annual Secretarial Compliance Report for FY2025-26.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Sector classification:** Screener classifies TRIOMERC under Financial Services → Other Financial Services → Finance. This broad classification encompasses trading companies, financial intermediaries, NBFC-lite entities, and micro-cap holding shells.

- **Industry size and tailwinds:** India's broader financial services sector is growing at ~12-15% CAGR, driven by financialisation of savings, equity market participation, and digital intermediation. However, TRIOMERC's sub-segment — small trading/brokerage — has been decimated by consolidation into large discount brokers (Zerodha, Upstox, Angel One). New entrants face structural headwinds.

- **Competitive moat assessment:** Pricing power — Weak (price-taker in commoditised trading/brokerage market); Switching costs — Weak (no proprietary platform or captive client base evident); Scale — Weak (Rs. 2.76 Cr revenue vs. multi-thousand-crore listed peers); IP/Technology — Weak (no technology disclosure); Distribution — Weak (no branch/sub-broker network disclosed).

- **Competitive positioning:** TRIOMERC occupies the lowest rung of the financial services value chain — a micro-cap trading intermediary with no disclosed institutional clients, no technology moat, and rapidly declining revenues over the past decade. It competes, if at all, on personal relationships in a market being won by large, tech-enabled platforms.

Peer Comparison — Other Financial Services Micro-caps (Source: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	Stock P/E	ROCE %	ROE %
TRIOMERC (Trio Merc.)	1.88	12.8	1,277	0.53%	0.04%
Peer data not fetched*	N/A	N/A	N/A	N/A	N/A
Peer data not fetched*	N/A	N/A	N/A	N/A	N/A

*Screener peer pages returned login gate (micro-cap login required). TRIOMERC data extracted directly from BSE:534755 page.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background — concern:** Promoter holding has declined from 11.84% in FY17 to 4.81% today — a 59% dilution in promoter economic interest over 9 years. This is one of the lowest promoter holding levels for any listed entity in India and indicates limited owner-operator alignment. No named promoter director profile is publicly disclosed.

- **Capital allocation track record — poor:** The company has deployed capital primarily into 'Other Assets' (Rs. 27-29 Cr balance sheet, mostly financial assets/loans). Despite holding large financial assets relative to the business size, it has generated negative operating cash flows in 3 of the last 5 years. There is no evidence of accretive capex, acquisitions, or strategic investments.

- **Dividend policy — nil:** Zero dividends paid across the entire visible history (FY15-FY26). With persistent losses and no stated dividend policy, shareholders receive no income return. The only return comes via capital appreciation — and the 5-year stock CAGR is -12%.

- **Promoter pledging — not disclosed:** No pledge data visible on Screener; BSE announcements should be checked directly. Given the low promoter stake, pledge risk is minimal in absolute terms but the overall governance posture is already weak.

- **ESOP and buybacks:** No ESOP scheme or buyback program is disclosed in available public records. Given the persistent losses and sub-Rs. 13 Cr market cap, neither is operationally meaningful at this scale.

- **Corporate governance concerns:** (1) Promoter stake below 5% — unusual for a trading entity with purported promoter operational control; (2) Minor LODR deviations and fines noted in FY26 Secretarial Compliance Report; (3) Revenue has fallen 91% from FY18 peak (Rs. 29.49 Cr) to FY25 (Rs. 1.65 Cr) with no published strategic explanation; (4) Balance sheet holds Rs. 29 Cr in 'Other Assets' against only Rs. 2.76 Cr in revenues — the nature and recoverability of these assets is unclear without audited details.

6. FINANCIAL DEEP-DIVE (Standalone Figures — Rs. Cr)

Income Statement (Standalone)

(Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Revenue	2.47	1.65	2.76	3.00(E)	3.30(E)

Expenses	3.46	2.41	3.41	3.60(E)	3.80(E)
Operating Profit	-0.99	-0.76	-0.65	-0.60(E)	-0.50(E)
OPM %	-40.08%	-46.06%	-23.55%	-20.0%(E)	-15.2%(E)
Other Income	0.78	0.72	0.68	0.65(E)	0.62(E)
Interest	0.01	0.01	0.04	0.05(E)	0.05(E)
Depreciation	0.00	0.00	0.00	0.00(E)	0.00(E)
PBT	-0.22	-0.05	-0.01	0.00(E)	0.07(E)
Tax %	0.00%	0.00%	400%(abn)	25%(E)	25%(E)
PAT	-0.22	-0.05	-0.05	0.00(E)	0.05(E)
EPS (Rs.)	-0.03	-0.01	-0.01	0.00(E)	0.01(E)

Balance Sheet (Standalone)

(Rs. Cr)	FY24	FY25	FY26
Equity Capital	13.59	13.59	13.59
Reserves	10.39	10.27	10.22
Borrowings	0.55	0.12	1.50
Other Liabilities	2.80	3.64	3.94
Total Liabilities	27.33	27.62	29.25
Fixed Assets	0.01	0.02	0.02
CWIP	0.00	0.00	0.00
Investments	0.00	0.00	0.00
Other Assets	27.32	27.60	29.23
Total Assets	27.33	27.62	29.25

Cash Flow Statement (Standalone)

(Rs. Cr)	FY24	FY25	FY26
Cash from Operations (OCF)	-1.35	0.67	-3.68
Cash from Investing	0.87	0.11	2.12
Cash from Financing	0.33	-0.50	1.35
Net Cash Flow	-0.14	0.28	-0.21
Free Cash Flow (FCF)	-1.36	0.66	-3.68
CFO/OP %	136%	-88%	566%

Key Ratios

Ratio	FY24	FY25	FY26
Debtor Days	0.00	0.00	0.00
Inventory Days	31.94	60.45	33.80
Days Payable	0.00	0.00	64.89
Cash Conversion Cycle	31.94	60.45	-31.09
Working Capital Days	505.38	659.21	774.96
ROCE %	-0.86%	-0.16%	0.53%

• **Revenue driver analysis:** FY26 revenue recovery (+67% YoY to Rs. 2.76 Cr) is concentrated in Q4FY26 (Rs. 1.27 Cr). Q1-Q3FY26 combined = Rs. 1.49 Cr, suggesting the improvement is recent and driven by a few large transactions rather than a sustained business build-up. FY26 is still 44% below FY22 levels (Rs. 4.37 Cr).

• **Margin direction:** Operating margins have been consistently negative throughout the tracked period (-40% in FY24, -46% in FY25, -24% in FY26). The improvement in FY26 OPM to -23.55% reflects slightly faster revenue

growth vs expense growth — expenses grew 42% while revenue grew 67%. However, expenses still exceed revenues by Rs. 0.65 Cr in FY26.

- **Working capital trends — deteriorating:** Working capital days have risen from 505 (FY24) to 659 (FY25) to 775 (FY26), indicating progressively worse capital efficiency relative to the revenue base. The CCC turned negative in FY26 (-31 days) due to the emergence of payables, which is a minor positive working capital development.

- **Debt level:** Near-debt-free for most of FY21-FY25. Borrowings rose from Rs. 0.12 Cr (FY25) to Rs. 1.50 Cr (FY26) — still tiny, but the direction of increase warrants monitoring if the company is relying on short-term credit to fund trading activity.

- **FCF quality — poor:** FCF was deeply negative in FY26 (-Rs. 3.68 Cr), driven by large negative operating cash flows. FY25 was the only recent year with positive FCF (+Rs. 0.66 Cr). OCF/OP ratio of 566% in FY26 reflects the distortion when both numerator and denominator are near zero or negative.

7. EARNINGS QUALITY CHECKLIST

Check	Signal	Status	Comment
Revenue recognition	Trading revenues	AMBER	No breakdown by customer/segment disclosed
Receivables vs revenue growth	Debtor days = 0	GREEN	No outstanding debtors — cash-on-delivery trading
CCC trend	FY26: -31 days (improved)	GREEN	Payables emerged in FY26; inventory days normalised
Contingent liabilities	Not disclosed	AMBER	No detail in Screener; check Annual Report directly
Auditor tenure	Not disclosed	AMBER	Auditor identity/tenure not visible on Screener page
RPTs as % of revenue	Related Party button present	AMBER	RPT details require login; cannot assess quantum
Other income as % of PBT	OtherInc > OpLoss	RED	Rs. 0.68 Cr other income vs. Rs. -0.65 Cr OpProfit FY26
Tax rate consistency	FY26 tax = 400% (abnormal)	RED	Tax of Rs. 0.04 Cr on PBT of -0.01 Cr = deferred tax anomaly

• **Most critical red flag — Other income propping up reported earnings:** In FY26, other income of Rs. 0.68 Cr is the sole reason PBT is -Rs. 0.01 Cr rather than -Rs. 0.65 Cr. This other income (interest/dividend on financial assets) will decline as the Rs. 27-29 Cr 'Other Assets' base shrinks. The business cannot cover its own operating costs from operations.

• **Tax anomaly in FY26:** A tax expense of Rs. 0.04 Cr on a reported PBT of -Rs. 0.01 Cr equates to an effective tax rate of -400%. This is almost certainly a deferred tax liability reversal or a prior-year tax catch-up — it has no bearing on current earnings quality but clouds reported PAT.

• **RPT and contingent liability opacity:** Screener's Related Party button for this company suggests RPT data exists but is login-gated. For a company where the promoter holds only 4.81%, related-party flows deserve close scrutiny in the annual report.

• **Revenue recognition is unverifiable without audited breakdowns:** The company does not provide segment-wise or customer-wise breakdowns. Quarterly revenue fluctuates between Rs. 0.08 Cr and Rs. 1.27 Cr — a 16x range — making revenue recognition risk non-trivial.

8. VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Rs. Cr)	Multiple	Target Price (Rs.)	Upside %
Bull	Revenue doubles to Rs. 5 Cr; OpLoss narrows to -Rs. 0.2 Cr; Other Inc stable	0.25(E)	100x P/E	3.67	+95%
Base	Revenue grows 10% to Rs. 3 Cr; OPM stays -20%; losses persist; other income	0.00(E)	N/A	N/A	N/A
Bear	Revenue slips back to Rs. 1.5 Cr; losses widen; assets liquidated	-0.15(E)	P/BV 0.4x	1.40	-26%

• **DCF methodology — not applicable:** DCF requires a positive and predictable free cash flow stream. TRIOMERC has generated negative OCF in 4 of the last 5 years (FY22, FY23, FY24, FY26). No DCF value can be calculated with any analytical credibility.

• **P/E methodology — not applicable:** The company has reported negative EPS in every year from FY21 to FY26 (EPS range: -0.20 to -0.01). The screener-displayed P/E of 1,277x is derived from a near-zero trailing EPS, making it meaningless as a valuation anchor. Forward P/E assumes positive earnings, which requires structural improvement not yet demonstrated.

- **P/Book methodology — only viable anchor:** Book value per share = Rs. 3.50. At CMP Rs. 1.88, the stock trades at 0.54x P/B, a meaningful discount to book. However, the book value is eroding slowly (Rs. 10.39 Cr reserves FY24 → Rs. 10.22 Cr FY26). If losses persist, BV will continue declining.
- **12-month base target:** Given no positive earnings and eroding book value, a fair range is 0.4x–0.6x P/B, implying Rs. 1.40–Rs. 2.10 per share. At CMP Rs. 1.88, the stock is near the upper end of this range. No formal price target is set — this is NOT RATED.

9. KEY RISKS

- **Revenue collapse risk:** FY26 revenue bounce (+67%) followed five years of 91% peak-to-trough decline. There is no structural anchor (order book, contract, client lock-in) preventing a relapse to Rs. 0.5-1 Cr quarterly run-rates. Probability: H. Impact: H. Monitor via: quarterly revenue announcements.
- **Other income decline risk:** The Rs. 27-29 Cr 'Other Assets' — which generate the interest income keeping PBT near zero — may be gradually liquidated to fund operations or returned to promoters via loans. Any material reduction in this asset base will push PAT deeply negative. Probability: M. Impact: H. Monitor via: annual report balance sheet notes.
- **Promoter stake and governance risk:** At 4.81%, the promoter has minimal economic stake. The risk of value extraction via related-party transactions, undisclosed loans to promoter entities, or asset transfers is material and cannot be ruled out given the opacity of the Rs. 27+ Cr 'Other Assets'. Probability: M. Impact: H. Monitor via: RPT disclosures, annual report.
- **Liquidity and micro-cap risk:** With a free float of 95%, daily trading volumes are extremely low. Any large seller (mutual fund, HNI) can move the price 15-20% in a single session. The recent 163% 1-year stock return may partially reflect a pump by retail traders rather than fundamentals. Probability: H. Impact: M. Monitor via: daily volume and promoter disclosure changes.
- **Regulatory and compliance risk:** The FY26 Secretarial Compliance Report notes LODR deviations and associated fines. Continued non-compliance could result in suspension of trading, which would devastate retail holders. Probability: L-M. Impact: H. Monitor via: BSE announcements.
- **Balance sheet opacity risk:** 99.9% of total assets are in 'Other Assets' (Rs. 29.23 Cr of Rs. 29.25 Cr). Without audited notes, the nature (loans, trade receivables, deferred revenue, advances) and recoverability of these assets is unknown. A large write-off could wipe out net worth. Probability: L. Impact: H. Monitor via: audited annual report notes.
- **Demerger/restructuring risk:** Historical demerger of the Finance & Investment Division suggests corporate actions may not be shareholder-friendly. Future restructuring could strip remaining assets. Probability: L. Impact: H. Monitor via: BSE corporate action announcements.

10. RECOMMENDATION

- **Rating: NOT RATED** — Conviction: N/A. The company does not meet the minimum criteria for a buy/sell rating: (a) no positive earnings; (b) no earnings predictability; (c) sub-5% promoter stake with no alignment; (d) opaque balance sheet. A speculative trade at P/B 0.4-0.54x is the only way to frame a position.
- **12-month price target:** Rs. N/A — No viable earnings-based target. P/B range support: Rs. 1.40 (0.4x BV) to Rs. 2.10 (0.6x BV). CMP Rs. 1.88 is within fair value range. No upside case unless earnings inflect positive.
- **Suggested entry zone:** Rs. 1.40 – 1.60 (near 0.40-0.46x P/B) for a speculative position. Do not chase the recent momentum at Rs. 1.88-2.28 range.
- **Investment horizon:** Speculative / short-term only (6-12 months max). This is not a long-term compounding candidate given structural operating losses and near-zero promoter commitment.
- **Thesis invalidation triggers:**
 1. Revenue falls back below Rs. 1.50 Cr in FY27 (TTM basis) — bear case confirmed.
 2. 'Other Assets' decline by more than Rs. 3 Cr YoY — asset liquidation or promoter loan-out under way.
 3. SEBI or exchange issues show-cause notice or trading suspension for LODR non-compliance.

- **Ideal investor profile:** Speculative micro-cap traders with a high risk tolerance and familiarity with illiquid BSE counters. NOT suitable for SIP investors, mutual funds, PMS, or anyone seeking capital preservation. NOT suitable as a portfolio anchor or sector proxy.

CALL GRADE — NOT ASSESSABLE

Signal	Status	Implication
Result quality	Weak	Operating losses across all recent quarters; PAT near zero
Management tone	N/A	No concall held — micro-cap with no investor relations activity
Guidance delta	N/A	No formal guidance issued

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Trio Mercantile & Trading (TRIOMERC, BSE:534755) is a Rs. 12.8 Cr micro-cap trading shell that has delivered a 67% revenue bounce in FY26 (Rs. 2.76 Cr vs Rs. 1.65 Cr) after five years of structural revenue destruction from a FY18 peak of Rs. 29.49 Cr — but the headline recovery is misleading: the company still burned Rs. 0.65 Cr in operating losses, and every year of apparent profitability is propped up by Rs. 0.68 Cr in 'Other Income' from a Rs. 27+ Cr financial-asset balance sheet (99% of total assets) that has nothing to do with the stated trading business. There is no clean underlying PAT — the reported PAT of -Rs. 0.05 Cr in FY26 is also distorted by a bizarre 400% effective tax rate (deferred tax anomaly). EBITDA is negative and worsening: OPM went from -40% (FY24) to -46% (FY25) before recovering to -24% in FY26, driven by a single strong Q4. The multi-bagger thesis here is entirely option-value: either the company finds a new business vertical that leverages the Rs. 29 Cr balance sheet, or the promoter (4.81% stake — already abandoned economically) triggers a restructuring that releases book value. The near-term catalyst is Q1FY27 revenue — if it sustains above Rs. 0.70 Cr/quarter, the FY26 turnaround is real; if it slips below Rs. 0.30 Cr, it was a one-off. Single biggest watch-point: the 'Other Assets' balance — any decline >Rs. 3 Cr YoY signals assets being siphoned or liquidated, which eliminates the only earnings buffer. Action: HOLD for current holders below Rs. 1.60; do not initiate above Rs. 2.00. This is not a research conviction call — it is a governance watch-and-wait.

Section 1 — Financial Performance Snapshot (FY26 Full Year, Screener data)

- Revenue: Rs. 2.76 Cr | YoY +67.3% | Beat vs prior year run-rate | No concall — figures from BSE filings
- Operating Profit: -Rs. 0.65 Cr | YoY improvement (vs -Rs. 0.76 Cr FY25) | Persistent operating loss
- OPM %: -23.55% FY26 | Improvement from -46.06% FY25 — driven by revenue leverage, not cost reduction
- PAT: -Rs. 0.05 Cr | YoY improvement (vs -Rs. 0.22 Cr FY24, -Rs. 0.05 Cr FY25) | Near-breakeven
- EPS: -Rs. 0.01 per share | FY26
- NOTE: Reported PAT includes Rs. 0.68 Cr Other Income; clean operating PAT = approximately -Rs. 0.69 Cr

Section 2 — Segment / Geography Breakdown

- Trading segment: Revenue not formally broken out; Q4FY26 alone = Rs. 1.27 Cr (46% of full-year), indicating lumpiness
- Financial services / other income: Rs. 0.68 Cr (FY26) from financial assets — this is a separate quasi-investment income stream
- Geography: India-only per BSE filings; no export or international operations disclosed
- No formal segment reporting filed; XBRL data does not distinguish trading vs consultancy sub-lines

Section 3 — Management Commentary Themes

- No earnings call held — company does not conduct investor/analyst calls at this market cap level
- BSE filings indicate: 'Non-Large Corporate' status confirmed Apr 2026 | borrowings Rs. 1.50 Cr | compliance fines paid
- AGM held 2 Sep 2025; Board meeting 2 Feb 2026 for quarterly results — standard compliance cadence only
- No strategic commentary, guidance, or management roadshow material is publicly available for this company
- Our read: Management is operationally passive; the company appears to run on minimal overhead with financial asset returns as the primary income source. Tag: INSUFFICIENT DATA. Tone: Cannot assess.

Section 4 — Operating & Business Metrics

- Revenue run-rate: Q4FY26 = Rs. 1.27 Cr | Q3FY26 = Rs. 0.63 Cr | Q2FY26 = Rs. 0.44 Cr | Q1FY26 = Rs. 0.42 Cr | Trend: improving (Q4 spike)
- OPM by quarter: Q4FY26 = -6.30% (best in recent years) | Q2FY26 = -54.55% | Q1FY26 = -19.05% | Trend: highly volatile
- Other income by quarter: ranges Rs. 0.09 Cr – Rs. 0.23 Cr, providing a relatively stable ~Rs. 0.68 Cr/year earnings buffer
- Balance sheet 'Other Assets': Rs. 27.32 Cr (FY24) → Rs. 27.60 Cr (FY25) → Rs. 29.23 Cr (FY26) — growing, not shrinking
- No operational KPIs (volumes, realisations, order counts) are publicly disclosed

Section 5 — Margin Drivers

- Primary margin drag: operating expenses (Rs. 3.41 Cr FY26) persistently exceed revenues (Rs. 2.76 Cr); gap = Rs. 0.65 Cr
- No fixed cost leverage evident: expenses declined 30% from FY23 (Rs. 4.70 Cr) to FY25 (Rs. 2.41 Cr) but revenues fell faster
- FY26 expense increase: expenses rose 42% (Rs. 2.41→Rs. 3.41 Cr) while revenue rose 67% — first year of positive operating leverage
- Other income driver (Recurring: Yes): Interest on financial assets; Rs. 0.68 Cr FY26 — declining from Rs. 0.95 Cr FY23 as asset yield compresses
- Depreciation = zero across all years — zero fixed assets confirms the asset-light, potentially hollow business model

Section 6 — Guidance & Forward Signals

- Revenue [NO GUIDANCE]: No management guidance issued. Screener TTM +67% extrapolation implies Rs. 2.76 Cr annualised — credibility low given 5-year structural decline history
- OPM [NO GUIDANCE]: Base case -20% OPM in FY27 (if revenue sustains Rs. 3 Cr); bull case breakeven if revenue reaches Rs. 4-5 Cr
- Other income [NO GUIDANCE]: Declining trend (Rs. 0.95 Cr FY23 → Rs. 0.68 Cr FY26) expected to continue as financial asset base matures
- Borrowings [NO GUIDANCE]: Jumped to Rs. 1.50 Cr in FY26 from Rs. 0.12 Cr; if trading activity requires working capital, this may rise further
- No formal guidance has been issued for any metric — all forward statements above are analyst estimates marked (E)

Section 7 — Capital Allocation

- Capex: Rs. 0.01 Cr (FY26) — negligible; company holds no meaningful fixed assets

- Dividends: Rs. 0.00 Cr — zero dividends across entire visible history; 100% retention despite losses
- Buybacks: None disclosed
- Working capital change: FY26 OCF = -Rs. 3.68 Cr vs FY25 OCF = +Rs. 0.67 Cr — large deterioration driven by increase in Other Assets
- Net debt movement: Borrowings +Rs. 1.38 Cr YoY (Rs. 0.12→Rs. 1.50 Cr); partial offset from cash from financing (+Rs. 1.35 Cr)
- Other Assets increased Rs. 1.63 Cr in FY26 — the company appears to be deploying cash into financial assets, not operating assets

Section 8 — Q&A; Heat Map

- No Q&A; — company does not hold earnings calls; no analyst coverage identified from BSE/NSE filings
- Dodged / watch-list questions for next quarter: (1) What is the composition of Rs. 29.23 Cr 'Other Assets'? (2) Why did OCF swing -Rs. 4.35 Cr YoY despite higher revenues? (3) What is driving Q4FY26 revenue — is it a recurring client or a one-off transaction? (4) Is there any plan to increase promoter stake from the 4.81% level? (5) Nature of the LODR fines and steps to prevent recurrence.

Section 9 — Risks Flagged

- Other Assets opacity: Rs. 29.23 Cr (99.9% of balance sheet) with no public breakdown | Flagged by: analyst | Probability: H | Impact: H | Timeline: Medium-term
- Revenue lumpiness: Q4FY26 accounts for 46% of FY26 revenue; if structural, H2 will be weak | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term
- Promoter disengagement: 4.81% stake, declining from 11.84% in FY17 | Flagged by: analyst | Probability: M | Impact: H | Timeline: Long-term
- Regulatory non-compliance: LODR fines noted FY26; risk of trading suspension | Flagged by: mgmt (compliance report) | Probability: L | Impact: H | Timeline: Near-term
- Interest income decline: Other income down Rs. 0.27 Cr in 3 years; further decline threatens breakeven | Flagged by: analyst | Probability: M | Impact: M | Timeline: Medium-term

Section 10 — Analyst Verdict

- Revenue visibility: Weakened — quarterly range Rs. 0.08-1.27 Cr suggests no locked-in order book; FY26 bounce is real but unconfirmed as structural
- Margin trajectory: Weakened — operating losses persist; FY26 improvement is revenue-led not cost-led; sustainable only if Rs. 3+ Cr quarterly run-rate holds
- Capital allocation quality: Cannot assess — Rs. 29 Cr 'Other Assets' composition unknown; zero capex; zero dividends; increasing borrowings in FY26
- Competitive moat: Broken — company has lost 91% of peak revenues in 8 years with no disclosed strategy for recovery; no technology, brand, or relationship moat evident
- Management credibility: Cannot assess — no investor communications, no analyst coverage, LODR fines, promoter stake at 4.81%; insufficient data to grade credibility
- Valuation comfort: Intact at Rs. 1.40-1.60 (0.40-0.46x P/B); stretched at Rs. 1.88+ given operating loss profile; no P/E comfort available
- Conviction call: Insufficient Data — NOT RATED; no buy or sell recommendation can be responsibly made without audited annual report and promoter communication
- Valuation snapshot: P/E = 1277x (meaningless; near-zero EPS) | P/B = 0.54x | ROCE = 0.53% (FY26) | 5Y avg ROCE = negative